

7.TOPICS IN LONG-TERM LIABILITIES AND EQUITY

Instead of purchasing an asset, a firm may choose to lease the asset.

With a lease, a firm (the lessee) essentially purchases the right to use an asset from another firm (the lessor) for a specified period, which can range from a month to many years.

The advantages of leasing rather than purchasing an asset may include the following:

- less initial cash flow
- less costly financing
- less risk of obsolescence

In a lease situation the lessor retains legal title to the asset and would be the party to benefit from a high residual value

both the benefits and the risks of ownership are substantially transferred to the lessee is classified as a finance lease.

If either the benefits or the risks of ownership are not substantially transferred to the lessee, a lease is classified as an operating lease

Lessor perspective:

Aspect	IFRS (Finance Lease)	US GAAP (Sales-Type Lease)	US GAAP (Direct Financing Lease)	US GAAP (Operating Lease)
Classification Criteria	Transfers substantially all risks & rewards	Meets at least one of the lease classification tests	Does not meet sales-type lease criteria but meets direct financing lease tests	None of the sales-type or direct financing criteria are met
Revenue Recognition	Present value of lease payments	Present value of lease payments	No upfront revenue recognition, only interest income over lease term	Recognizes lease payments as rental income over time
COGS Recognition	Carrying value of the leased	Carrying value of the leased	No COGS recognized	No COGS recognized

Aspect	IFRS (Finance Lease)	US GAAP (Sales-Type Lease)	US GAAP (Direct Financing Lease)	US GAAP (Operating Lease)
	asset	asset		
Asset Treatment	Derecognized, replaced with lease receivable	Derecognized, replaced with lease receivable	Derecognized, replaced with lease receivable	Asset remains on balance sheet
Depreciation	No depreciation	No depreciation	No depreciation	Yes, since the asset remains with the lessor
Interest Income	Recognized over lease term	Recognized over lease term	Recognized over lease term	Not applicable

when the lessor **derecognizes the leased asset**, it replaces it with a **lease receivable**, which represents the expected payments from the lessee over the lease term.